DEVELOPMENT PROCESSES AND THE DEVELOPMENT INDUSTRY

FOUR ACTORS, ONE SYSTEM → LEGAL VEHICLE CARD → CORPORATE SOCIAL RESPONSIBILITY CARD → FOUR REGULATORY LAYERS → THE FOREIGN-CONTRIBUTION GATE → FUNDING TO OUTCOME

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◉ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

00

STAGE 00 FOUR ACTORS, ONE SYSTEM

FOUR ACTORS, ONE SYSTEM · BILATERAL AND MULTILATERAL DONORS, FOUNDATIONS, CORPORATE PROGRAMMES · LEGAL VEHICLES · PUBLIC CHARITABLE TRUST, SOCIETY, SECTION 8 COMPANY · NON-GOVERNMENTAL ORGANISATIONS AND SELF-HELP GROUP FEDERATIONS · SEPARATE FUNDING SOURCE FROM LEGAL VEHICLE FROM LAST-MILE IMPLEMENTER · MUST REMEMBER · DEVELOPMENT PROCESSES JOIN STATE INSTITUTIONS, MARKETS, COMMUNITIES, CIVIL

FUNDERS — bilateral and multilateral donors, foundations, corporate programmes → LEGAL VEHICLES — public charitable trust, society, Section 8 company → IMPLEMENTERS — non-governmental organisations and self-help group federations → RULE — separate funding source from legal vehicle from last-mile implementer → MUST REMEMBER: Development processes join state institutions, markets, communities, civil

CORE CLAIM
- FUNDERS — bilateral and multilateral donors, foundations, corporate programmes
- LEGAL VEHICLES — public charitable trust, society, Section 8 company

MECHANISM
- IMPLEMENTERS — non-governmental organisations and self-help group federations
- RULE — separate funding source from legal vehicle from last-mile implementer

CONSEQUENCE / LIMIT
- MUST REMEMBER: Development processes join state institutions, markets, communities, civil…
- FUNDERS — bilateral and multilateral donors, foundations, corporate programmes

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULE — separate funding source from legal vehicle from last-mile implementer.

01

STAGE 01 LEGAL VEHICLE CARD

LEGAL VEHICLE CARD · DEED PLUS STATE PUBLIC-TRUST LAW; THE 1882 TRUSTS ACT · SOCIETIES REGISTRATION ACT, 1860 AND STATE VARIANTS; MEMBERSHIP-BASED ACCOUNTABILITY · SECTION 8 COMPANY · COMPANIES ACT, 2013; PROFITS MAY NOT BE DISTRIBUTED TO · SCRUTINY LADDER · TRUST BELOW SOCIETY BELOW SECTION 8 COMPANY IN EXTERNAL

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
TRUST — deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments	SECTION 8 COMPANY — Companies Act, 2013; profits may not be distributed to members	TRUST — deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments
SOCIETY — Societies Registration Act, 1860 and state variants; membership-based accountability	SCRUTINY LADDER — trust below society below Section 8 company in external disclosure	SOCIETY — Societies Registration Act, 1860 and state variants; membership-based accountability

CORE CLAIM
- TRUST — deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments
- SOCIETY — Societies Registration Act, 1860 and state variants; membership-based accountability

MECHANISM
- SECTION 8 COMPANY — Companies Act, 2013; profits may not be distributed to members
- SCRUTINY LADDER — trust below society below Section 8 company in external disclosure

CONSEQUENCE / LIMIT
- TRUST — deed plus state public-trust law; the 1882 Trusts Act excludes charitable endowments
- SOCIETY — Societies Registration Act, 1860 and state variants; membership-based accountability

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SCRUTINY LADDER — trust below society below Section 8 company in external disclosure.

02

STAGE 02 CORPORATE SOCIAL RESPONSIBILITY CARD

CORPORATE SOCIAL RESPONSIBILITY CARD · SECTION 135 · STATUTORY MINIMUM SPEND OF TWO PER CENT OF AVERAGE · COMPANIES CROSSING SPECIFIED NET WORTH, TURNOVER OR NET PROFIT · SCHEDULE VII · BOUNDED ACTIVITY LIST · HEALTH, EDUCATION, POVERTY, ENVIRONMENT, RURAL DEVELOPMENT · RULES LAYER

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECTION 135 — statutory minimum spend of two per cent of average net profits of preceding years	SCHEDULE VII — bounded activity list: health, education, poverty, environment, rural development	SECTION 135 — statutory minimum spend of two per cent of average net profits of preceding years
APPLICABILITY — companies crossing specified net worth, turnover or net profit thresholds	RULES LAYER — CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section	APPLICABILITY — companies crossing specified net worth, turnover or net profit thresholds

CORE CLAIM
- SECTION 135 — statutory minimum spend of two per cent of average net profits of preceding years
- APPLICABILITY — companies crossing specified net worth, turnover or net profit thresholds

MECHANISM
- SCHEDULE VII — bounded activity list: health, education, poverty, environment, rural development
- RULES LAYER — CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section

CONSEQUENCE / LIMIT
- SECTION 135 — statutory minimum spend of two per cent of average net profits of preceding years
- APPLICABILITY — companies crossing specified net worth, turnover or net profit thresholds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULES LAYER — CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section.

03

STAGE 03 FOUR REGULATORY LAYERS

FOUR REGULATORY LAYERS · STATE REGISTRAR OR REGISTRAR OF COMPANIES; LEGAL EXISTENCE ONLY · FOREIGN FUNDING · MINISTRY OF HOME AFFAIRS UNDER THE 2010 ACT AS · TAX STATUS · INCOME TAX DEPARTMENT, SECTIONS 12A AND 80G; EXEMPTION AND · GRANT IDENTITY · NITI AAYOG NGO DARPAN UNIQUE IDENTIFICATION; NOT PERMISSION

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
INCORPORATION — state registrar or Registrar of Companies; legal existence only	TAX STATUS — Income Tax Department, Sections 12A and 80G; exemption and donor deduction	INCORPORATION — state registrar or Registrar of Companies; legal existence only
FOREIGN FUNDING — Ministry of Home Affairs under the 2010 Act as amended in 2020	GRANT IDENTITY — NITI Aayog NGO Darpan unique identification; not permission	FOREIGN FUNDING — Ministry of Home Affairs under the 2010 Act as amended in 2020

CORE CLAIM
- INCORPORATION — state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING — Ministry of Home Affairs under the 2010 Act as amended in 2020

MECHANISM
- TAX STATUS — Income Tax Department, Sections 12A and 80G; exemption and donor deduction
- GRANT IDENTITY — NITI Aayog NGO Darpan unique identification; not permission

CONSEQUENCE / LIMIT
- INCORPORATION — state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING — Ministry of Home Affairs under the 2010 Act as amended in 2020

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GRANT IDENTITY — NITI Aayog NGO Darpan unique identification; not permission.

04

STAGE 04 THE FOREIGN-CONTRIBUTION GATE

THE FOREIGN-CONTRIBUTION GATE · ROUTE ONE · REGISTRATION FOR ONGOING RECEIPT OF FOREIGN CONTRIBUTION · ROUTE TWO · CASE-SPECIFIC PRIOR PERMISSION FOR A DEFINED CONTRIBUTION · DESIGNATED ACCOUNT AT THE STATE BANK OF INDIA MAIN · ADMINISTRATIVE-EXPENSE PROPORTION CAPPED; SUB-GRANTING BETWEEN ENTITIES RESTRICTED

ROUTE ONE — registration for ongoing receipt of foreign contribution

ROUTE TWO — case-specific prior permission for a defined contribution → CONDITIONS — designated account at the State Bank of India main branch, New Delhi → LIMITS — administrative-expense proportion capped; sub-granting between entities restricted

CORE CLAIM
- ROUTE ONE — registration for ongoing receipt of foreign contribution
- ROUTE TWO — case-specific prior permission for a defined contribution

MECHANISM
- CONDITIONS — designated account at the State Bank of India main branch, New Delhi
- LIMITS — administrative-expense proportion capped; sub-granting between entities restricted

CONSEQUENCE / LIMIT
- ROUTE ONE — registration for ongoing receipt of foreign contribution
- ROUTE TWO — case-specific prior permission for a defined contribution

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMITS — administrative-expense proportion capped; sub-granting between entities restricted.

05

STAGE 05 FUNDING TO OUTCOME

FUNDING TO OUTCOME · FUNDING SOURCE · PROJECT CYCLE, FOUNDER PRIORITY OR SCHEDULE VII COMPLIANCE SETS · LEGAL VEHICLE · DETERMINES DISCLOSURE AND GOVERNANCE QUALITY AVAILABLE TO A BENEFICIARY · LOCAL SOCIAL CAPITAL AND CAPACITY DETERMINE LAST-MILE FIDELITY · UPWARD TO DONOR AND REGULATOR; NEVER DOWNWARD TO THE

FUNDING SOURCE — project cycle, founder priority or Schedule VII compliance sets the frame → LEGAL VEHICLE — determines disclosure and governance quality available to a beneficiary → IMPLEMENTER — local social capital and capacity determine last-mile fidelity → ACCOUNTABILITY — upward to donor and regulator; never downward to the beneficiary

CORE CLAIM
- FUNDING SOURCE — project cycle, founder priority or Schedule VII compliance sets the frame
- LEGAL VEHICLE — determines disclosure and governance quality available to a beneficiary

MECHANISM
- IMPLEMENTER — local social capital and capacity determine last-mile fidelity
- ACCOUNTABILITY — upward to donor and regulator; never downward to the beneficiary

CONSEQUENCE / LIMIT
- FUNDING SOURCE — project cycle, founder priority or Schedule VII compliance sets the frame
- LEGAL VEHICLE — determines disclosure and governance quality available to a beneficiary

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCOUNTABILITY — upward to donor and regulator; never downward to the beneficiary.

06

STAGE 06 FIVE-TEST GRID

FIVE-TEST GRID · ADDS CAPACITY, OR SUBSTITUTES FOR A PUBLIC OBLIGATION STILL · CHOSEN FROM DISAGGREGATED EXCLUSION DATA, OR FROM THE FUNDER · CAN A BENEFICIARY OBTAIN RECORDS, COMPLAIN AND FORCE CORRECTION · SUSTAINABILITY AND FIT · WHO OPERATES AFTER THE GRANT, AND IS IT CONVERGED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
ADDITIONALITY — adds capacity, or substitutes for a public obligation still owed	ACCOUNTABILITY — can a beneficiary obtain records, complain and force correction	ADDITIONALITY — adds capacity, or substitutes for a public obligation still owed
NEED-FIT — chosen from disaggregated exclusion data, or from the funder priority	SUSTAINABILITY AND FIT — who operates after the grant, and is it converged with the district plan	NEED-FIT — chosen from disaggregated exclusion data, or from the funder priority

CORE CLAIM
- ADDITIONALITY — adds capacity, or substitutes for a public obligation still owed
- NEED-FIT — chosen from disaggregated exclusion data, or from the funder priority

MECHANISM
- ACCOUNTABILITY — can a beneficiary obtain records, complain and force correction
- SUSTAINABILITY AND FIT — who operates after the grant, and is it converged with the district plan

CONSEQUENCE / LIMIT
- ADDITIONALITY — adds capacity, or substitutes for a public obligation still owed
- NEED-FIT — chosen from disaggregated exclusion data, or from the funder priority

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUSTAINABILITY AND FIT — who operates after the grant, and is it converged with the district plan.

07

STAGE 07 SUBSTITUTION AGAINST COMPLEMENTARITY

SUBSTITUTION AGAINST COMPLEMENTARITY · NON-STATE DELIVERY IS A SYMPTOM OF STATE FAILURE AND · FLEXIBILITY, SPEED AND RISK-TAKING ARE STRUCTURALLY EASIER OUTSIDE PROCUREMENT · THE ADDITIONALITY TEST DECIDES THE CASE RATHER THAN THE · AGGREGATE RISK · DUPLICATION AND VISIBLE-NEED BIAS WHERE CONVERGENCE IS ABSENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SUBSTITUTION — non-state delivery is a symptom of state failure and may entrench it	RESOLUTION — the additionality test decides the case rather than the thesis	SUBSTITUTION — non-state delivery is a symptom of state failure and may entrench it
COMPLEMENTARITY — flexibility, speed and risk-taking are structurally easier outside procurement	AGGREGATE RISK — duplication and visible-need bias where convergence is absent	COMPLEMENTARITY — flexibility, speed and risk-taking are structurally easier outside procurement

CORE CLAIM
- SUBSTITUTION — non-state delivery is a symptom of state failure and may entrench it
- COMPLEMENTARITY — flexibility, speed and risk-taking are structurally easier outside procurement

MECHANISM
- RESOLUTION — the additionality test decides the case rather than the thesis
- AGGREGATE RISK — duplication and visible-need bias where convergence is absent

CONSEQUENCE / LIMIT
- SUBSTITUTION — non-state delivery is a symptom of state failure and may entrench it
- COMPLEMENTARITY — flexibility, speed and risk-taking are structurally easier outside procurement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: AGGREGATE RISK — duplication and visible-need bias where convergence is absent.

08

STAGE 08 VISIBLE-NEED BIAS

VISIBLE-NEED BIAS · SCHEDULE VII LIST PLUS REPUTATIONAL INCENTIVE · CROWDING INTO SCHOOL BUILDINGS, SANITATION HARDWARE AND OTHER LEGIBLE · MENTAL HEALTH, CARE WORK, LEGAL AID AND DISABILITY ACCESS · A CONVERGENCE FAILURE, NOT A FAILURE OF GENEROSITY

DRIVER — Schedule VII list plus reputational incentive → EFFECT — crowding into school buildings, sanitation hardware and other legible sectors → SHORTFALL — mental health, care work, legal aid and disability access stay underfunded → DIAGNOSIS — a convergence failure, not a failure of generosity

CORE CLAIM
- DRIVER — Schedule VII list plus reputational incentive
- EFFECT — crowding into school buildings, sanitation hardware and other legible sectors

MECHANISM
- SHORTFALL — mental health, care work, legal aid and disability access stay underfunded
- DIAGNOSIS — a convergence failure, not a failure of generosity

CONSEQUENCE / LIMIT
- DRIVER — Schedule VII list plus reputational incentive
- EFFECT — crowding into school buildings, sanitation hardware and other legible sectors

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DIAGNOSIS — a convergence failure, not a failure of generosity.

09

STAGE 09 MULTI-LEVEL PLANNING CARD

MULTI-LEVEL PLANNING CARD · UNION, STATE, DISTRICT AND LOCAL PLAN WHAT EACH IS · DISTRICT PLANNING COMMITTEE UNDER ARTICLE 243ZD; OPERATIONALISATION UNEVEN · FISCAL PRECONDITION · THE STATE FINANCE COMMISSION · KERALA PEOPLE'S PLAN CAMPAIGN, 1996; FUNDS, FUNCTIONS AND FUNCTIONARIES · CLOSE DISTINCTION · DEVELOPMENT INDUSTRY IS AN ANALYTICAL LABEL FOR ORGANISATIONS

TIERS — Union, state, district and local plan what each is best placed to know → CONSOLIDATION — District Planning Committee under Article 243ZD; operationalisation uneven → FISCAL PRECONDITION — the State Finance Commission → DEMONSTRATION — Kerala People's Plan Campaign, 1996; funds, functions and functionaries together → CLOSE DISTINCTION: Development industry is an analytical label for organisations

CORE CLAIM
- TIERS — Union, state, district and local plan what each is best placed to know
- CONSOLIDATION — District Planning Committee under Article 243ZD; operationalisation uneven

MECHANISM
- FISCAL PRECONDITION — the State Finance Commission
- DEMONSTRATION — Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Development industry is an analytical label for organisations,…
- TIERS — Union, state, district and local plan what each is best placed to know

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Development industry is an analytical label for organisations,.

10

STAGE 10 FOUR DONOR-DISTORTION CHANNELS

FOUR DONOR-DISTORTION CHANNELS · DONOR PRIORITY SETS THE PROBLEM BEFORE LOCAL NEED IS · REPORTING REWARDS COUNTABLE OUTPUTS, SO PARTICIPATORY PROCESS IS CUT · PROJECT-BASED TIME-BOUND GRANTS MISMATCH A MULTI-YEAR INSTITUTION-BUILDING HORIZON · ACCOUNTABILITY SUBSTITUTION · UPWARD REPORTING REPLACES DOWNWARD ANSWERABILITY · EVIDENCE LIMIT · USE SHG-BANK LINKAGE, DISTRICT MISSIONS

AGENDA — donor priority sets the problem before local need is assessed → METRIC — reporting rewards countable outputs, so participatory process is cut first → CYCLE — project-based time-bound grants mismatch a multi-year institution-building horizon → ACCOUNTABILITY SUBSTITUTION — upward reporting replaces downward answerability → EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions

CORE CLAIM
- AGENDA — donor priority sets the problem before local need is assessed
- METRIC — reporting rewards countable outputs, so participatory process is cut first

MECHANISM
- CYCLE — project-based time-bound grants mismatch a multi-year institution-building horizon
- ACCOUNTABILITY SUBSTITUTION — upward reporting replaces downward answerability

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions,…
- AGENDA — donor priority sets the problem before local need is assessed

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions,.

11

STAGE 11 ANSWER SPINE FOR A DISTANCE DEMAND

ANSWER SPINE FOR A DISTANCE DEMAND · NAME DISTANCE AS AN INSTITUTIONAL PROPERTY OF THE FUNDING · FOUR CHANNELS, THEN THE FIVE-TEST GRID APPLIED TO ONE · CONVERGENCE WITH THE LOCAL PLAN, CO-DECISION, EXIT PLANNING, DISCLOSED · GRADED VERDICT RECORDING THE ONE OPEN ROUTING CONFLICT RATHER

OPEN — name distance as an institutional property of the funding chain, not only of → BUILD — four channels, then the five-test grid applied to one case → CORRECT — convergence with the local plan, co-decision, exit planning, disclosed funding and cost → CLOSE — graded verdict recording the one open routing conflict rather than concealing it

CORE CLAIM
- OPEN — name distance as an institutional property of the funding chain, not only of the state
- BUILD — four channels, then the five-test grid applied to one case

MECHANISM
- CORRECT — convergence with the local plan, co-decision, exit planning, disclosed funding and cost
- CLOSE — graded verdict recording the one open routing conflict rather than concealing it

CONSEQUENCE / LIMIT
- OPEN — name distance as an institutional property of the funding chain, not only of the state
- BUILD — four channels, then the five-test grid applied to one case

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE — graded verdict recording the one open routing conflict rather than concealing it.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · THE 2024 PYQ'S CAREFUL PHRASING ("HAVE THE POTENTIAL TO · CSR'S SCHEDULE VII ACTIVITY-LIST CONSTRAINT IS A DOUBLE-EDGED DESIGN · IT PREVENTS · CROSS-BORDER DONOR FUNDING FOR INDIAN DEVELOPMENT WORK INTERSECTS DIRECTLY · MINISTRY OF CORPORATE AFFAIRS ADMINISTERS SECTION 8 COMPANY REGISTRATION · INCOME TAX DEPARTMENT ADMINISTERS CHARITABLE-TRUST TAX-EXEMPTION COMPLIANCE (REGISTRATION · NO SINGLE UNIFIED REGULATOR SUPERVISES "THE DEVELOPMENT INDUSTRY" AS

OPTIONAL SOURCE DEPTH
- CAUTION: The 2024 PYQ's careful phrasing ("have the potential to make — more inclusive") is an
- CAUTION: CSR's Schedule VII activity-list constraint is a double-edged design feature: it prevents
- CAUTION: Cross-border donor funding for Indian development work intersects directly with FCRA
- Ministry of Corporate Affairs administers Section 8 company registration and CSR

ADVANCED DEBATE
- Income Tax Department administers charitable-trust tax-exemption compliance (registration
- CAUTION: No single unified regulator supervises "the development industry" as such — regulatory
- CAUTION: A well-governed public charitable trust running a transparent, locally consulted health
- CAUTION: Boundary case: a CSR programme designed purely to satisfy Schedule VII compliance with

LEGACY / NUANCE
- CAUTION: Disaster relief remains the clearest example where charitable-trust/CSR flexibility
- CAUTION: Charitable/CSR development trades scale and universality (which the state, in
- CAUTION: Donor/CSR funding cycles being project-based and time-bound can create sustainability
- CAUTION: Weak, fragmented regulatory oversight (MCA/Income Tax/state registrars/MHA) leaves gaps

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels